

APPROPRIATIONS HEARING • FY2028

# Transit State-of- Good-Repair

A \$214M capital request to clear the backlog that is driving service failures across the regional rail network.



THE REPAIR BACKLOG

**\$1.4B**

of deferred state-of-good-repair work  
has accumulated across track, signals,  
and rolling stock since FY2019.



# **The backlog is now driving the delays riders feel every morning.**

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Mean-distance-between-failures has fallen 38% in four years.

Signal faults and slow-orders — direct symptoms of deferred repair — now cause two of every three weekday delays on the network.



# Where the \$214M request goes, by asset class.

|    |                        |                                                                                                 |       |
|----|------------------------|-------------------------------------------------------------------------------------------------|-------|
| 01 | Signal modernisation   | Replaces 14 interlockings past their 40-year design life — the largest single source of faults. | \$86M |
| 02 | Track & structures     | Eliminates 22 slow-orders and rehabilitates four at-risk bridges.                               | \$61M |
| 03 | Rolling stock overhaul | Mid-life overhaul of 90 rail cars, extending service life 15 years.                             | \$48M |
| 04 | Power & substations    | Replaces three substations operating beyond capacity at peak.                                   | \$19M |



# Projected FY28–FY30 returns in reliability and cost avoidance.

+52%

Mean distance between failures

TARGET +40% BY FY30 **ON PLAN**



–31%

Weekday delay minutes

SIGNAL AND TRACK FIXES **ON PLAN**

\$96M

Avoided emergency repair

OVER THREE YEARS **ON PLAN**



CONTEXT • THE COST OF WAITING

Every year of deferral makes the backlog more expensive to clear.

MODELLED ESCALATION ON THE CURRENT BACKLOG AT OBSERVED DEGRADATION AND INFLATION RATES.





# How the request is funded across three sources.

|    |                             |                                                      |        |
|----|-----------------------------|------------------------------------------------------|--------|
| 01 | State capital appropriation | The amount this hearing is being asked to authorise. | \$128M |
| 02 | Federal formula match       | Drawn at the 2:1 rate the state request unlocks.     | \$64M  |
| 03 | Farebox capital reserve     | From the dedicated reserve, already accrued.         | \$22M  |
| 04 | Total program               | Fully funded if the state share is approved.         | \$214M |



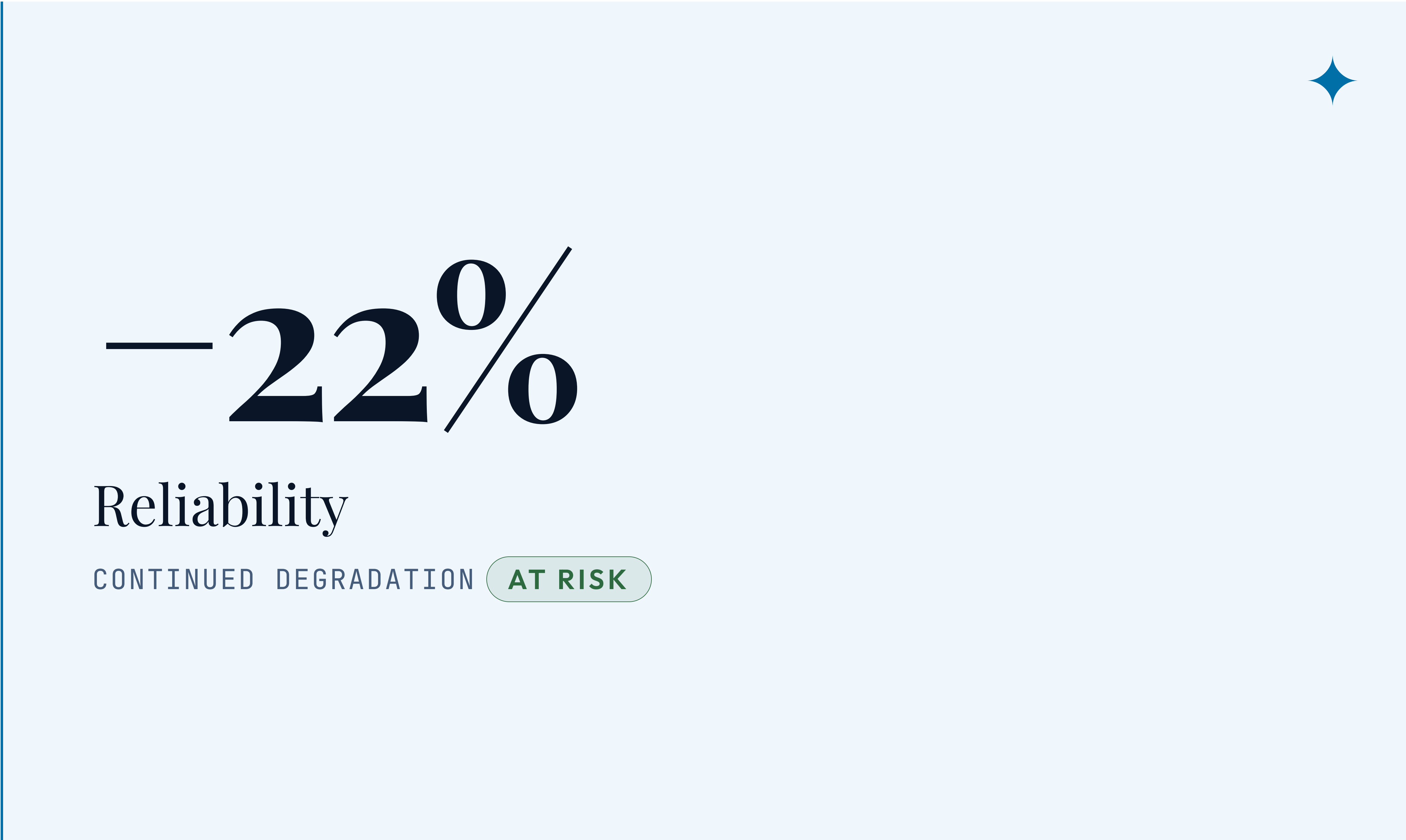
# The federal match is the reason to fund this cycle, not next.

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The \$64M federal formula match expires at the close of FY2028. A state appropriation now draws it down at 2:1; a one-year delay forfeits the match and raises the state's share of the same work by an estimated \$58M.



# The network through FY30 without this appropriation.



\$1.8B

Backlog

+\$400M VS TODAY **AT RISK**

\$0

Federal match captured

WINDOW CLOSES FY28 **AT RISK**



# Where each funding scenario sits on cost against service risk.

**High cost • Low risk.**

Full backlog clearance in one cycle

**High cost • High risk.**

Emergency-only spending, no planning

**Low cost • High risk.**

Defer the request another year

**Low cost • Low risk.**

\$214M phased request with federal match



# The criteria the capital plan was built to meet.

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01

**Targets the failure drivers**

Spend must address the assets actually causing delays, not lowest-hanging cost.

02

**Captures available match**

Must draw down federal dollars before the formula window closes.

03

**Bounded annual ask**

State share must stay within the capital-budget growth cap.

04

**Measurable reliability gain**

Each dollar must map to a projected reliability or cost-avoidance outcome.



# Approve the \$128M state share to unlock the full \$214M repair program.

APPROVE THE STATE SHARE

Captures the expiring federal match and reverses four years of reliability decline.

WHY NOT DEFER A YEAR

Forfeits \$64M in match and adds \$58M to the state's eventual cost.

WHY NOT EMERGENCY-ONLY

Spends 3.2× more per fix and never clears the backlog.



DEPT. OF TRANSIT • BUDGET.TRANSIT.GOV.EXAMPLE

Fund the repair now, or  
pay for the failure later.